

ECONOMY TOPIC 25 | CLIMATE ECONOMICS, GREEN FINANCE AND CIRCULAR ECONOMY  
CURRENT-SOURCE CUTOFF: 10 SEPTEMBER 2026  
READ: DEFINE FAILURE -> IDENTIFY INSTRUMENT -> TRACE FINANCE/MATERIAL FLOW -> TEST INTEGRITY -> DISTRIBUTION  
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[01 MARKET FAILURE]

- | - negative externality: social cost > private cost
- | - climate stability: public-good features
- | - atmosphere/carbon budget: commons-like scarcity
- | - cross-border + intergenerational free riding
- ` - uncertainty does not erase expected damage

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[02 RESPONSE TRIAD]

- | - mitigation -> lower emissions / increase sinks
- | - adaptation -> lower exposure / vulnerability
- | - loss and damage -> residual economic/non-economic harm
- | - resilience -> capacity to absorb, adapt and recover
- ` - separate objectives, metrics and finance

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[03 CARBON-VALUE MAP]

- | - SCC -> discounted marginal damage estimate
- | - carbon tax -> government fixes price
- | - cap-and-trade -> regulator fixes allowance quantity
- | - baseline-credit -> performance against benchmark
- ` - offset -> project reduction/removal against counterfactual

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[04 INTEGRITY CHECK]

- | - monitoring + reporting + verification
- | - additionality + conservative baseline
- | - leakage + permanence
- | - registry + surrender + no double counting
- ` - certificate != guaranteed climate outcome

[05 INDIA CERTIFICATE MAP]

- | - PAT / ESCert -> energy-efficiency intensity
- | - REC -> renewable-electricity attribute
- | - CCTS / CCC -> tCO2e reduction/removal under scheme
- | - BEE administrator | GCI registry | CERC trading regulator
- ` - never merge ESCert, REC and CCC

[06 CCTS DATED STATUS]

- | - notified 28 Jun 2023; offset arm added 19 Dec 2023
- | - Oct 2025 -> 282 obligated entities / four sectors
- | - 13 Jan 2026 -> +208 / four categories = 490 total
- | - 26 Jun 2026 steel targets -> draft at cutoff
- ` - no unsupported price, volume or mature-market claim

[07 CLIMATE FINANCE]

- | - public / private / alternative sources
- | - mitigation / adaptation / loss-and-damage purposes
- | - provided != mobilised != committed != disbursed
- | - concessionality != additionality
- ` - blended finance -> barrier-specific risk absorption

[08 GREEN INSTRUMENTS]

- | - green bond -> debt + eligible use of proceeds
- | - SGrB framework approved 9 Nov 2022
- | - FY23-24 issuance Rs 20,000 crore
- | - eligible transfers Rs 20,785.60 crore; top-up Rs 785.60 crore
- ` - greenium and environmental impact require separate proof

[09 RBI + SEBI]

- | - RBI green-deposit directions -> 28 Nov 2025
- | - RBI climate disclosure -> draft 28 Feb 2024 at cutoff
- | - BRSR Core -> top 500 FY25-26; top 1,000 FY26-27
- | - value-chain ESG disclosure voluntary from FY25-26
- | - disclosure != prudential resilience != environmental outcome

[10 TAXONOMY + GREENWASHING]

- | - DEA taxonomy framework -> draft 7 May 2025
- | - taxonomy -> activity + threshold + safeguards
- | - label -> allocation -> output -> outcome -> additionality
- | - assurance reduces information asymmetry
- | - draft / label / review never equals verified impact

[11 CIRCULAR ECONOMY]

- | - refuse/redesign -> reduce -> reuse -> repair
- | - refurbish -> remanufacture -> recycle -> recover
- | - LCA checks extraction-to-disposal impacts
- | - EPR shifts specified end-of-life responsibility upstream
- | - track rebound, absolute throughput and informal workers

[12 INTEGRATED ANSWER]

- | - carbon price + standards + innovation + public investment
- | - adaptation grants/concessional finance for public benefits
- | - CBAM from 1 Jan 2026 -> EU trade measure, not CCTS
- | - just transition -> workers + regions + consumers + access
- | - judge emissions, resilience, materials, jobs, equity and fiscal risk